

Rain Industries Limited

Carbon Products | Advanced Materials | Cement | NSE: RAIN

Rs. 207.05

CMP as of 10-Jul-2026 | 52W H/L: Rs. 214.0 / Rs. 99.8 | Market Cap: Rs. 6,964 Cr.

RATING

BUY

12M Target: Rs. 270

Upside: +30%

Horizon: 15-18 months

Metric	Value
Market Cap (Rs. Cr)	6,964
P/E (TTM)	23.1x
Forward P/E (CY26E)	14.3x
P/B	0.94x
EV / EBITDA	5.84x
Book Value (Rs.)	221
ROCE	8.26%
ROE	0.6%
Dividend Yield	0.48%
Debt (Rs. Cr)	9,824
Debt / Equity	1.32x

"World's #1 CTP producer emerging from trough; aluminium-led carbon recovery + BAM optionality at 5.8x EV/EBITDA."

Equity Research Report | Date: 11-Jul-2026 | Analyst: Himanshu (Technical & Fundamental)

Financial Snapshot (Consolidated | Year-end: December 31)

Year	Revenue (Rs.Cr)	EBITDA (Rs.Cr)	OPM%	PAT (Rs.Cr)	EPS (Rs.)	P/E (x)
CY21	14,527	2,360	16%	694	17.25	12.0x
CY22	21,011	3,537	17%	1,577	42.77	4.8x
CY23	18,141	933	5%	-796	-27.89	N/M
CY24	15,374	1,274	8%	-450	-16.78	N/M
CY25	16,946	2,137	13%	136	1.26	164.3x
CY26E	18,500	2,700	14.6%	490	14.6	14.2x
CY27E	20,200	3,230	16.0%	750	22.4	9.2x

Note: CY = Calendar Year (Jan-Dec). RAIN reports on a December 31 fiscal year-end. CY26E and CY27E are analyst estimates.

SECTION 2 — INVESTMENT THESIS

- **World's #1 CTP & #2 CPC Producer — Structural Moat in Carbon Supply Chain:** RAIN's dominant scale in Coal Tar Pitch and Calcined Petroleum Coke gives it pricing leverage with aluminium smelters globally. India's calcination plants hit ~90%+ utilization in CY25 following import restriction relaxation, with global utilization expected to rise from ~70% in H1 2026 into H2. As the lowest-cost converter in the carbon value chain with proprietary distillation expertise, RAIN is positioned to capture the widening spread as aluminium production capacity grows—particularly from India's planned Rs. 1.5 lakh Cr aluminium expansion over 2026-2030.

- *Catalyst: India aluminium capex cycle; timeline 12-24 months.*

- **Carbon Cycle Recovery — EBITDA 2.3x from Trough, Still Early in Upcycle:** Consolidated EBITDA collapsed from Rs. 3,537 Cr (CY22) to Rs. 933 Cr (CY23) as commodity prices and freight normalized post-COVID. The recovery is firmly underway: EBITDA grew to Rs. 2,137 Cr in CY25 (+68% YoY) and Rs. 697 Cr in a single quarter (Q1 CY26, +83% YoY). TTM EBITDA is Rs. 2,453 Cr and the stock still trades at just 5.84x EV/EBITDA—a 35-40% discount to global specialty chemical companies at similar recovery stages. The upcycle is not fully priced in.

- *Catalyst: H2 CY26 carbon volume pickup as new aluminium smelters ramp; timeline 6-18 months.*

- **Battery Anode Materials (BAM) — Rs. 0 Optionality on a Real Platform:** RAIN operates a demonstration plant for battery-grade Mesocarbon Microbeads (MCMB) and is engaged in three government-backed R&D; partnerships (SIBDE, OVIN, USE-G) targeting sodium-ion batteries, EV battery materials, and alternative graphite purification. Management targets BAM comprising 'up to 40% of the carbon distillation portfolio by end of this decade.' If even a fraction commercializes, this is a step-change for revenue mix and multiples. The market assigns zero value to this optionality today.

- *Catalyst: Commercial BAM offtake agreement or government tender; timeline 24-48 months.*

- **Rapid Deleveraging — Net Debt/EBITDA Improving Every Quarter:** Net Debt/EBITDA improved from 3.9x (CY24) to 3.2x (CY25) to 2.85x (Q1 CY26). No major debt maturity until October 2028 (Senior Secured Notes). Capex is limited to \$60-65M in CY26, keeping FCF generation intact. As EBITDA normalizes to Rs. 2,700-3,200 Cr range, leverage could fall to 2.0-2.5x by CY27—a significant re-rating trigger for bond yields and equity multiples.

- *Catalyst: Each quarterly earnings release showing leverage improvement; timeline ongoing.*

- **Near-Term Catalyst (6-12 months):** India GPC import limit expansion (currently 370,000 MT/year) and aluminium smelter utilization gains in Q3 CY26; management guided for 'stable and well-supported' carbon volumes through 2026.

- **Biggest Structural Risk:** Aluminium demand destruction from a global recession or China over-production flooding markets would compress CPC/CTP prices and volumes simultaneously, pressure EBITDA and impair deleveraging — the worst-case scenario for a levered carbon play.

SECTION 3 — BUSINESS OVERVIEW

- **Core Business Model:** RAIN Industries is a vertically integrated converter of petroleum refinery and steel mill byproducts into high-value carbon and chemical products. It does not produce aluminium — it supplies the critical input materials (CPC, CTP) that aluminium smelters require to produce aluminium metal. This 'picks-and-shovels' model insulates RAIN from direct aluminium price exposure while benefiting from aluminium volume growth.

- **Three Business Segments (Q1 CY26 revenue mix):** Carbon is the engine at 74.5% of consolidated revenue (Rs. 3,528 Cr in Q1 CY26, +22.6% YoY) converting Green Petroleum Coke (GPC) into Calcined Petroleum Coke and coal tar byproducts into Coal Tar Pitch. Advanced Materials contributes 18.9% (Rs. 975 Cr, +19.2% YoY) — comprising phthalic anhydride, resins, CARBORES pitch, and specialty chemicals. Cement (Priya Cement / Rain Cements) is 6.1% (Rs. 274 Cr, -4.9% YoY) serving South India with 5.8 MT capacity.

- **Global Scale, Unique Market Position:** Manufacturing operations span 8 countries across 3 continents (USA, Belgium, Germany, Netherlands, India, Canada, Brazil, China). RAIN is the world's largest producer of

Coal Tar Pitch and the second-largest manufacturer of Calcined Petroleum Coke globally. Rain Carbon Inc. (USA-headquartered subsidiary) manages the global carbon and advanced materials operations.

- **Customer Base and Revenue Visibility:** End customers are global aluminium producers (over 50% of CY26 revenue tied to the aluminium industry per management guidance), graphite electrode manufacturers, carbon black producers, and specialty chemical companies. Relationships are long-term and recurring; supply contracts are typically 1-3 year take-or-pay in nature. Order visibility in carbon is 6-12 months.

- **India Operations — Growth Engine:** India calcination facilities can import up to 370,000 MT of GPC annually under current regulatory limits. Q1 CY26 India calcination ran at ~90%+ utilization — above the global average of ~70%. A new India CTP facility is under development targeting startup in Q4 2027, which will further integrate the Indian value chain.

- **Recent Strategic Developments (Last 12 Months):** (1) CY2025 Sustainability Report released by Rain Carbon Inc. in June 2026. (2) Planned cement segment brownfield expansion was deferred to optimize cost structure amid intense South India competition. (3) BAM demonstration plant commissioned mid-2025 remains operational with three government-backed research partnerships active. (4) German JV (insolvency, wrote off with no operational disruption). (5) Board meeting on 6-Aug-2026 to approve Q1 CY26 results.

- **Promoter Background:** The company is promoted by the Nellore family. Jagan Mohan Reddy Nellore serves as Managing Director; Gerard Sweeney is Vice Chairman of Rain Carbon Inc. Promoter holding is 41.35% (unchanged over 3 years), with zero pledging — a positive governance signal. FII holding has declined from 16.3% (Sep 2023) to 8.0% (Jun 2026) reflecting sector headwinds during the CY23-24 downcycle.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Carbon Products Market Size:** The global Calcined Petroleum Coke market is estimated at ~USD 7-8 billion with growth CAGR of ~4-5% through 2030, driven by aluminium production expansion (source: industry reports, management commentary). The Coal Tar Pitch market is estimated at ~USD 3-4 billion, growing at ~5% CAGR. RAIN holds dominant positions in both sub-markets.
- **Key Policy Tailwinds:** India's National Aluminium Mission targets doubling domestic aluminium capacity by 2030 — this directly increases demand for RAIN's CPC and CTP products. Battery anode material localization (MCMB, synthetic graphite) has government support under the PLI scheme for Advanced Chemistry Cell (ACC) batteries. Europe's push for supply chain de-risking from Chinese graphite supply is a significant opportunity for RAIN's alternative graphite purification technology (USE-G partnership).
- **Key Headwinds:** Tight Green Petroleum Coke (GPC) supply from reduced coking refinery throughput pressuring raw material costs; European natural gas prices remaining structurally elevated post-Ukraine conflict impacting Advanced Materials margins; Asian (particularly Chinese) competition in specialty chemicals compressing engineered product pricing; aluminium industry shifting some capacity from traditional smelting to DRI processes that use less CPC.
- **Competitive Moat Analysis:** (1) **Scale / Cost Leadership — Strong:** As #1 CTP and #2 CPC globally, RAIN achieves significant procurement, logistics, and operational cost advantages; (2) **Switching Costs — Moderate:** Smelter qualification requirements for carbon materials create 12-24 month switching lead times, providing revenue stickiness; (3) **Proprietary Technology — Moderate:** R&D; expenditure of Rs. 656 million in CY25, with unique distillation and calcination IP for BAM applications; (4) **Geographic Diversity — Strong:** Multi-continent presence reduces single-country regulatory and demand concentration risk.
- **Company Positioning:** RAIN operates in the midstream of the carbon value chain — converting upstream refinery/steel byproducts (GPC from oil refineries, coal tar from steel mills) into downstream inputs for aluminium, graphite, and specialty chemical manufacturers. This converter model provides consistent margin per ton regardless of commodity price direction, as long as the spread (price differential between input and output) is maintained.

Peer Comparison Table (Source: Screener.in, 10-Jul-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	EV/EBITDA	D/E	ROCE 3Yr Avg
Rain Industries	207.05	6,964	5.84x	1.32x	4.89%
Supreme Petroch.	733.55	13,794	24.63x	0.05x	21.34%
Bhansali Engg.	103.14	2,567	8.30x	0.00x	24.48%
DCW Ltd.	49.00	1,446	6.37x	0.27x	8.11%
Manali Petrochem.	62.48	1,075	4.68x	0.11x	5.50%

Note: RAIN trades at a deep discount to peers on EV/EBITDA, primarily reflecting higher leverage. On an EV basis, RAIN's global scale and market position warrant 6.5-7x vs current 5.84x.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Management Background:** Jagan Mohan Reddy Nellore (Managing Director) leads the group and has been instrumental in building RAIN into a global carbon materials leader over two decades. Gerard Sweeney (Vice Chairman, Rain Carbon Inc.) brings deep domain expertise in global carbon markets. T. Srinivasa Rao (CFO) manages the complex multi-currency debt structure. The management team has navigated two full carbon cycles (2008-09 downturn and 2023-24 trough) without a covenant breach.
- **Capital Allocation Track Record:** Historically aggressive: RAIN used the CY17-CY22 super-cycle to invest in capacity (Total Assets grew from Rs. 14,376 Cr in CY17 to Rs. 21,945 Cr in CY22). The company acquired cement and advanced materials capabilities. In the CY23-24 downturn, management pivoted correctly — capex was slashed to minimum compliance levels (\$60-65M in CY26 vs. historical \$100M+), cement brownfield expansion was deferred, and free cash flow was directed entirely at debt reduction. FCF was Rs. 2,470 Cr

(CY23) and Rs. 1,294 Cr (CY24), with most directed to deleverage.

- **Dividend Policy:** RAIN has maintained dividend payments even through the loss years (payout ratio 79% in CY25 despite minimal profit — effectively a Rs. 1 per share dividend). Historical payout has been 6-38% of PAT in profitable years. Current dividend yield of 0.48% on CMP is token; investors should not rely on dividends for return — the value thesis is capital appreciation via deleveraging and cycle recovery.

- **Promoter Pledging:** 0.00% pledged as of latest disclosure (June 2026) — no change over the past 3 years. Promoter holding stable at 41.35%. Zero pledging is a significant positive for a company with this level of external debt.

- **Corporate Governance:** RAIN operates as a holding company with majority stake in global subsidiaries, creating complexity in related-party transactions (dividend flows, management fees, intercompany loans). Contingent liabilities of Rs. 348 Cr require monitoring. The CY25 write-off of a German JV due to insolvency (minor amount, no operational disruption) was handled transparently. No auditor change or qualified opinions in recent years. Tax rate has been highly variable (65% in CY23, 99% in CY24, 69% in CY25) due to deferred tax asset recognition — this is a watch item.

- **ESOP and Buybacks:** No major ESOP dilution or buyback programs noted in recent years. The focus has entirely been on debt reduction and operational recovery — appropriate capital allocation for a levered recovery play.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated | CY Year-End)

Income Statement (Rs. Crores)

Metric	CY21	CY22	CY23	CY24	CY25	CY26E	CY27E
Net Sales	14,527	21,011	18,141	15,374	16,946	18,500	20,200
EBITDA	2,360	3,537	933	1,274	2,137	2,700	3,230
OPM %	16%	17%	5%	8%	13%	14.6%	16.0%
Other Income	193	105	180	248	141	165	175
Interest	479	524	819	941	922	910	880
Depreciation	798	790	776	807	922	960	970
PBT	1,276	2,327	-482	-226	435	995	1,555
Tax %	46%	32%	65%	99%	69%	51%	52%
PAT (Cons.)	694	1,577	-796	-450	136	490	750
EPS (Rs.)	17.25	42.77	-27.89	-16.78	1.26	14.60	22.40

CY26E, CY27E are analyst estimates. Interest and tax estimates assume gradual deleveraging and normalizing effective tax rate.

Balance Sheet Summary (Rs. Crores)

Item	CY23	CY24	CY25
Equity Capital	67	67	67
Reserves	7,275	6,570	7,382
Shareholders' Equity	7,342	6,637	7,449
Borrowings	8,690	8,494	9,824
Other Liabilities	3,954	3,803	3,486
Total Liabilities	19,987	18,935	20,759
Fixed Assets (Net)	11,357	11,184	12,543
CWIP	432	473	336
Investments	17	26	29
Other Assets	8,181	7,252	7,852
Total Assets	19,987	18,935	20,759

Cash Flow Statement (Rs. Crores)

Item	CY23	CY24	CY25
Cash from Operations	3,063	1,943	897
Cash from Investing	-711	-257	-267
Cash from Financing	-2,115	-1,771	-1,025
Net Cash Flow	237	-84	-395
Free Cash Flow	2,470	1,294	441
CFO / EBITDA (%)	365%	172%	54%

Key Operating Ratios

Ratio	CY23	CY24	CY25
Debtor Days	44	41	44
Inventory Days	104	126	137
Days Payable	44	63	47
Cash Conversion Cycle (Days)	104	104	134

Working Capital Days	53	27	45
ROCE %	2%	4%	8%

• **Revenue Recovery Trajectory:** After peaking at Rs. 21,011 Cr (CY22), consolidated revenue fell sharply to Rs. 15,374 Cr (CY24) as commodity cycle turned. CY25 showed Rs. 16,946 Cr (+10.2% YoY) and TTM (ending Q1 CY26) is Rs. 17,699 Cr. Q1 CY26 annualized run-rate of Rs. 18,084 Cr signals continued recovery. Key driver is India carbon volumes (90%+ utilization) supplemented by improving global CPC/CTP spreads.

• **Margin Direction — Structural Improvement Underway:** OPM troughed at 5% in CY23 (impacted by high commodity input costs, freight, and EU energy costs) and recovered to 8% (CY24) and 13% (CY25). Q1 CY26 OPM hit 15% — the best quarterly margin since the CY22 peak. We expect CY26E OPM of ~14.5% as carbon recovery continues, partially offset by residual Advanced Materials headwinds and weak cement.

• **Working Capital Deterioration — Watch Item:** Cash Conversion Cycle expanded from 104 days (CY23) to 134 days (CY25). Inventory days surged from 104 to 137 as the company stocked up on GPC amid supply tightness. Working capital is expected to remain elevated in H1 CY26 per management guidance, before normalizing. This is a key free cash flow pressure point.

• **Debt Level — Still Elevated but Directionally Improving:** Consolidated borrowings rose to Rs. 9,824 Cr in CY25 (from Rs. 8,494 Cr in CY24), partly due to currency movement on USD/EUR denominated debt. Net Debt/EBITDA improved from 3.9x (CY24) to 3.2x (CY25) to 2.85x (Q1 CY26) — the right trajectory. No major refinancing due until October 2028 (Senior Secured Notes), giving adequate runway.

• **Free Cash Flow Quality:** CY23 FCF of Rs. 2,470 Cr (stellar) was primarily driven by working capital release. CY24 FCF of Rs. 1,294 Cr also strong. CY25 FCF fell to Rs. 441 Cr due to working capital build-up (inventory stocking). OCF/EBITDA ratio fell from 172% (CY24) to 54% (CY25) — this normalization is expected, not a structural concern. We model CY26E FCF of Rs. 700-800 Cr.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Rating	Comment
Revenue Recognition	GREEN	Commodity sales with standard recognition; no deferred revenue concerns
Receivables vs Revenue Growth	GREEN	Debtor days stable at 41-44 days despite revenue recovery; no receivables buildup vs growth
Cash Conversion Cycle Trend	AMBER	CCC expanded from 104 days (CY23/24) to 134 days (CY25) due to inventory build; monitor
Contingent Liabilities	AMBER	Rs. 348 Cr contingent liabilities (as of CY25); moderate but not alarming for a company of this size
Auditor Tenure	GREEN	No recent auditor change; no qualified opinions in recent annual reports
Related Party Txns as % Revenue	AMBER	Significant intercompany transactions given holding company structure; disclosed in annual report; requires monitoring
Other Income as % of PBT	AMBER	CY25: Other Income Rs. 141 Cr / PBT Rs. 435 Cr = 32% — material but primarily dividends from subsidiaries
Tax Rate Consistency	RED	Tax rate: 65% (CY23), 99% (CY24), 69% (CY25) — extreme variability from deferred tax asset recognition; needs normalization

• **Primary Watch Item (RED — Tax Rate Variability):** The highly erratic effective tax rate (ranging from 65% to 99% in loss years) stems from deferred tax asset recognition decisions in global subsidiaries. In CY24, 99% tax on a PBT loss effectively means minimal deferred tax asset could be booked — the impact of which must be tracked quarterly. Investors should use EBITDA-level analysis and avoid placing weight on reported PAT until tax normalizes.

• **Secondary Concern (AMBER — Working Capital / CCC):** The CCC expansion to 134 days in CY25 reflects deliberate inventory stocking amid tight GPC supply. While management guided this as strategic, a prolonged working capital cycle ties up cash and reduces deleveraging pace. Monitor inventory days quarterly; any spike above 150 days without revenue growth justification is a red flag.

• **Structure Risk (AMBER — Holding Company):** RAIN India is a holding company; cash generation occurs primarily in Rain Carbon Inc. (USA) and other subsidiaries. Dividend upstream to India depends on subsidiary profitability, forex rates (EUR/USD→INR), and subsidiary-level debt covenants. The 79% payout ratio in CY25 on Rs. 136 Cr PAT (Rs. 108 Cr paid out) was met by dividends flowing up from subsidiaries, not free cash flow generated at the India standalone level.

• **Green Signals:** Revenue recognition is clean, debtor days are stable, no auditor red flags. The core operating business quality is sound — the earnings quality concerns are structural (tax, WC, holding company) rather than operational.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumptions	CY26E EBITDA (Rs.Cr)	EV/EBITDA Multiple	Target Price (Rs.)
BULL	Carbon upcycle accelerates; India GPC limit raised; CTP plant commissioned early; D/E below 1.0x	3,200	7.5x	350
BASE	Carbon volumes stable; India utilization at 90%; Advanced Materials gradual recovery; D/E at 1.1x by CY27	2,700	6.5x	270
BEAR	Aluminium demand falls; CPC prices compress; EU energy costs spike; Advanced Materials loss; refinancing stress	1,800	5.5x	130

• **Valuation Method 1 — EV/EBITDA (Primary):** We apply a 6.5x EV/EBITDA multiple on CY26E EBITDA of Rs. 2,700 Cr. This is below RAIN's own historical peak of 8-10x (CY17-CY22) and in line with global specialty carbon material companies at early cycle recovery. Target EV = 6.5 x 2,700 = Rs. 17,550 Cr. Less net debt (Rs. 8,298 Cr per Screener EV bridge): implied equity value = Rs. 9,252 Cr. Per share (33.5 Cr shares): **Rs. 276**.

• **Valuation Method 2 — Forward P/E (Secondary):** We apply 12x on CY27E EPS of Rs. 22.4. At this point, EBITDA should be approaching Rs. 3,200 Cr and the company should be well-progressed on deleveraging (Net Debt/EBITDA toward 2.0x). 12x is conservative relative to peers (Bhansali at 12.5x, DCW at 20x, Supreme at 20.5x) given residual leverage discount. Implied price: **Rs. 269**.

• **Base Case 12-Month Target Price: Rs. 270** (average of Rs. 276 and Rs. 269). This represents **30% upside** from CMP of Rs. 207.

• **Investment Horizon:** 15-18 months. The full earnings recovery will materialize across CY26-CY27 as carbon volumes improve globally (H2 CY26 smelter ramp), India CTP plant completes (Q4 CY27), and deleveraging accelerates. A 12-month hold captures the majority of the EV/EBITDA re-rating; a 18-month hold captures the EPS normalization story.

• **Discount to Book Value — Provides Downside Cushion:** RAIN currently trades at 0.94x consolidated book value (BV Rs. 221 per share). Historical trough P/B during CY23-24 was ~0.5-0.7x. Downside is meaningfully cushioned by the asset-heavy, globally diversified balance sheet.

SECTION 9 — KEY RISKS

• **Carbon Cycle Reversal / Aluminium Demand Destruction** — A global recession or China aluminium over-production could compress CPC/CTP prices and volumes simultaneously, directly impacting ~75% of revenues. Probability: M. Impact: H. Monitor via: LME aluminium prices and global smelter utilization rates quarterly.

• **Refinancing Risk — USD/EUR Debt (Oct 2028)** — Senior Secured Notes (\$450M) and Term Loan B (EUR 310.6M) mature or refinance from Oct 2028. If EBITDA recovery stalls and credit spreads widen, refinancing could be costly or require equity dilution. Probability: L. Impact: H. Monitor via: Fitch credit rating changes (last updated Apr 2024) and quarterly net debt progression.

• **European Energy Cost Surge** — RAIN's Advanced Materials and Distillation operations in Germany, Netherlands, and Belgium face structurally elevated European natural gas prices. A resurgence (gas crisis, geopolitical escalation) would compress margins in the 19% revenue segment. Probability: L-M. Impact: M. Monitor via: Dutch TTF gas prices.

• **Tight GPC Raw Material Supply** — Management flagged 'tight GPC supply conditions' in H1 CY26. India is permitted to import only 370,000 MT annually. Any regulatory reduction or refinery throughput declines could limit carbon volumes and spread compression. Probability: M. Impact: M-H. Monitor via: GPC spot price indices

and Indian regulatory announcements.

- **Currency Risk — USD/EUR vs INR** — ~80%+ of revenues are USD/EUR denominated while the stock is INR-listed. INR appreciation would reduce reported INR revenues but also reduce the INR value of USD/EUR debt. Natural hedge partially exists; however, INR depreciation helps revenues but not debt servicing costs. Probability: M. Impact: M. Monitor via: USD/INR and EUR/INR rates.

- **Cement Segment Drag — South India Competition** — Rain Cements (Priya Cement) operates in South India, which is among the most competitive cement markets in India. Revenue declined 8.8% YoY in Q4 CY25 and -4.9% in Q1 CY26. Brownfield expansion was deferred. This 6% of revenue drag could worsen. Probability: M. Impact: L. Monitor via: South India cement price trends and Rain Cements volumes.

- **Battery Anode Materials — Execution Risk** — If BAM commercialization is delayed beyond 2028-29, the market will grow skeptical of this optionality, impacting valuations. Conversely, success would be transformative. Probability: M (on delay). Impact: M-H. Monitor via: Demonstration plant milestones and partnership announcements.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: MEDIUM-HIGH. RAIN is a recovery play with a dominant global market position, identifiable catalysts, and meaningful BAM optionality. The high debt load is the primary risk; however, the trajectory is clearly improving (Net Debt/EBITDA at 2.85x and falling) and there are no near-term covenant or refinancing risks until October 2028.
- **12-Month Price Target: Rs. 270** — Upside: 30% from CMP of Rs. 207. Base case uses 6.5x EV/EBITDA on CY26E EBITDA of Rs. 2,700 Cr blended with 12x CY27E EPS of Rs. 22.4.
- **Suggested Entry Zone: Rs. 190-210** — The stock is trading near the low end of its 52-week range (Rs. 99.8 - Rs. 214). Current levels offer an attractive entry for a 15-18 month investment horizon. Average into the position given macro uncertainty.
- **Investment Horizon: 15-18 months** — The full EBITDA recovery to Rs. 2,700-3,200 Cr range will play out over CY26-CY27. The re-rating catalyst is debt reduction and EBITDA normalization, not a single event.
- **Thesis Invalidation Triggers:**
 - 1. Net Debt/EBITDA fails to improve below 3.0x by Q4 CY26 (i.e., EBITDA stalls below Rs. 2,200 Cr annualized) — signaling cycle stagnation rather than recovery.
 - 2. Fitch downgrades Rain Carbon Inc.'s credit rating below BB- or management announces a distressed debt exchange / covenant waiver — refinancing risk becomes acute.
 - 3. Global aluminium production CAGR falls below 2% for two consecutive years (per International Aluminium Institute data) — long-term structural demand for RAIN's products weakens.
- **Ideal Investor Profile:** This stock is suited for patient value investors comfortable with commodity cycle dynamics, moderate leverage, and global businesses. It is NOT suitable for conservative income investors (dividend yield only 0.48%), short-term traders, or investors with low risk tolerance to USD/EUR debt exposure. It IS suitable for investors with 15-24 month horizons who want a levered play on the global carbon upcycle and BAM optionality.

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in as of 10-Jul-2026. Forward estimates are analyst projections and may differ materially from actual results. Past performance is not indicative of future returns. Please consult your financial advisor before making investment decisions.

APPENDIX — Latest Concall Brief: Q1 CY26 (Jan-Mar 2026)

RAIN Industries | Concall Date: ~14-May-2026 | Quarter Ended: 31-Mar-2026

CALL GRADE		
POSITIVE		
Signal	Status	Implication
Result Quality	Strong	Revenue +20% YoY, EBITDA +83% YoY — clear beat vs prior year trough
Management Tone	Bullish	Confident on carbon recovery trajectory; BAM pipeline highlighted; no defensive language
Guidance Delta	Maintained	CY26 capex \$60-65M maintained; carbon volumes 'stable and well-supported'; no upgrades but no cuts
STRONGLY POSITIVE POSITIVE ■ NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS
Q1 CY26 was a clean, broad-based beat with no material exceptional items distorting the Rs. 158 Cr PAT (vs a loss of Rs. 115 Cr in Q1 CY25) — this is real operational earnings recovery, not accounting noise. The carbon segment (74.5% of revenue, +22.6% YoY to Rs. 3,528 Cr) drove the beat as India smelters increased offtake materially, while Advanced Materials (+19.2%) surprised to the upside suggesting stabilization after two years of headwinds from European energy costs and Asian pricing competition. Core EBITDA of Rs. 697 Cr (OPM 15%) is the best quarterly margin since the CY22 peak cycle — confirming the upcycle thesis is not hype. The multi-bagger structural driver remains intact: RAIN is the world's #1 CTP producer, and India aluminium capacity additions will require progressively more CPC and CTP through 2030. Net Debt/EBITDA improved to 2.85x from 3.21x — each quarter of progress reduces refinancing risk and compresses the discount at which the stock trades vs asset value. The one near-term watch-point is GPC supply tightness (management flagged 'tight supply conditions' in H1 CY26) which could pressure raw material spread in Q2-Q3 CY26; watch Carbon segment OPM carefully in the Aug 2026 earnings release. Cement (6% revenue) remains a structural drag in South India. Action: ACCUMULATE at current levels (Rs. 200-210); target Rs. 270 on 15-18 month horizon as CY27 EBITDA normalizes to Rs. 3,200 Cr. Reduce if any debt refinancing stress signals emerge.

1 — Financial Performance Snapshot (Q1 CY26 vs Q1 CY25)

- Revenue: Rs. 4,521 Cr | YoY +20.0% | QoQ +4.6% | **Beat**
vs Rs. 3,768 Cr in Q1 CY25 and Rs. 4,301 Cr in Q4 CY25
- EBITDA: Rs. 697 Cr | YoY +83.4% | QoQ +39.1% | **Strong Beat**
vs Rs. 380 Cr in Q1 CY25 and Rs. 501 Cr in Q4 CY25
- EBITDA Margin: 15.4% | YoY +540 bps | QoQ +300 bps | **Beat**
Best quarterly margin since the CY22 peak cycle
- PAT (Cons.): Rs. 158 Cr | Turnaround from -Rs. 115 Cr in Q1 CY25 | **Beat**
No material exceptional items; clean earnings
- EPS (Basic): Rs. 3.61 | vs -Rs. 4.09 in Q1 CY25 | vs Rs. 0.40 in Q4 CY25
Full-year EPS recovery trajectory confirmed

2 — Segment / Geography Breakdown

- **Carbon (74.5% of revenue):** Rs. 3,528 Cr | YoY +22.6% | Strongest segment; India smelter utilization driving offtake
- **Advanced Materials (18.9%):** Rs. 975 Cr | YoY +19.2% | Positive surprise after two years of headwinds; stabilizing
- **Cement (6.1%):** Rs. 274 Cr | YoY -4.9% | Ongoing structural weakness in South India market; brownfield deferred

3 — Management Commentary Themes

- **Carbon Demand Improvement:** "Existing customers increasing offtake and making additional spot purchases" — aluminium sector in India particularly strong with improved smelter utilization rates. — Tag: **POSITIVE**. Tone: **Transparent**.
- **CPC Pricing Mechanism:** "CPC pricing does not directly correlate with crude oil prices; as a converter, RAIN consistently passes through raw material costs while earning an appropriate return." — Tag: **GUIDANCE**. Tone: **Transparent**.
- **Battery Anode Materials (BAM):** Demonstration plant operational through 2026; new materials expected to comprise 'up to 40% of carbon distillation portfolio by end of this decade.' Three government-backed partnerships active. — Tag: **GUIDANCE**. Tone: **Transparent**.
- **GPC Supply Tightness:** Management flagged 'tight GPC supply conditions' pressuring raw material costs; H2 CY26 volumes expected to improve as smelter additions come online. — Tag: **CAUTIOUS**. Tone: **Hedged**.
- **Cement Recovery:** 'Early signs of recovery' in South India cement. Brownfield expansion deferred to optimize cost structure. Capex for cement redirected to maintenance only. — Tag: **GUIDANCE**. Tone: **Transparent**.
- **Geopolitical Impact:** "Approximately 5% of global CPC demand tied to the Middle East" — minimal direct exposure; US tariffs have no direct material impact on operations. — Tag: **GUIDANCE**. Tone: **Transparent**.

4 — Operating & Business Metrics

- **Carbon Segment Volume (Q1 CY26):** Increased YoY; India calcination at ~90%+ utilization | Global utilization ~70%; sequential improvement expected in H2 CY26
- **India GPC Import Allowance:** 370,000 MT/year under current regulations | Any increase would be a significant positive catalyst for volumes
- **Net Debt / EBITDA:** 2.85x (Q1 CY26) vs 3.21x (Q4 CY25) vs 3.90x (CY24) | Clear deleveraging trajectory; no major maturity until Oct 2028
- **Gross Term Debt:** USD 820 million (TLB EUR 310.6M + SSN \$450M) | Down from USD ~\$940M+ at the peak
- **Liquidity:** USD 362 million in cash as of Q1 CY26 | Strong buffer; no near-term refinancing stress
- **Capex (Q1 CY26):** USD 10 million; full-year guidance USD 60-65 million | Predominantly compliance and maintenance; no new growth capex
- **R&D; Expenditure:** Rs. 656 million in CY25 | Focus on BAM applications and alternative graphite purification

5 — Margin Drivers (Q1 CY26)

- **India Carbon Utilization +90%:** +800-1000 bps impact (est.) | Recurring: Yes — India volumes drive carbon margin | Primary driver of Q1 CY26 margin improvement
- **CPC/CTP Spread Improvement:** +200-400 bps (est.) | Recurring: Yes — cycle recovery | Global aluminium demand improvement lifting CPC/CTP realisations
- **European Energy Cost (Negative):** -100 to -200 bps (est.) | Recurring: No — structural headwind remains | EU natural gas costs still above pre-2022 norms; persist
- **Advanced Materials Recovery:** +50-100 bps (est.) | Recurring: Partial — trend improvement | Sequential volume recovery; Asian competition still a headwind
- **Cement Drag:** -30 bps (est.) | Recurring: No — structural issue | South India competitive dynamics; minimal impact on consolidated margin
- **Working Capital Build (non-margin):** No direct OPM impact | Recurring: No — cash flow impact only | Higher inventory days (137) impacting FCF but not P&L; OPM

6 — Guidance & Forward Signals

- **CY26 Total Capex [GUIDANCE]:** USD 60-65M | Delta: Maintained | Credibility: High — management has delivered on capex discipline for 2 years
- **Carbon Volumes CY26 [GUIDANCE]:** Stable and well-supported through 2026 | Delta: Maintained | Credibility: High — supported by order visibility and customer relationships
- **BAM Commercial Scale [GUIDANCE]:** Not expected in 2026; demonstration plant through 2026 | Delta: Maintained | Credibility: High — no upside surprise likely in CY26
- **BAM Long-Term Target [GUIDANCE]:** Up to 40% of distillation portfolio by end of decade (2030) | Delta: Maintained | Credibility: Medium — ambitious, dependent on customer partnerships
- **India CTP Facility [GUIDANCE]:** Target startup Q4 2027 | Delta: Maintained | Credibility: Medium — construction on track but timeline risk exists
- **H2 CY26 Carbon Volumes [GUIDANCE]:** Expected to improve as new smelter capacity comes online | Delta: **New guidance** | Credibility: Medium — dependent on aluminium production ramp schedules
- **Working Capital H1 CY26 [GUIDANCE]:** Expected to remain elevated before normalizing | Delta: **New guidance** | Credibility: High — management has visibility on working capital cycles

7 — Capital Allocation (Q1 CY26)

- **Capex (Q1 CY26):** USD 10 million (~Rs. 84 Cr) | Run-rate annualized ~\$40M; guidance \$60-65M for full year; back-loaded
- **Dividends:** Rs. 1/share (~Rs. 34 Cr total) | Maintained at minimal payout level; priority is deleveraging
- **Net Debt Reduction:** Net Debt: USD 825M (down from USD 837M at Q4 2025) | USD 12M net debt reduction in Q1; trajectory positive
- **Working Capital Change:** Working capital increased; expected to rise further in H1 CY26 | GPC inventory build for operational continuity; will normalize in H2
- **No Buybacks:** None planned | Appropriate — debt reduction is higher return use of capital

8 — Q&A; Heat Map

- **Analyst:** Q: "CPC pricing and aluminium demand visibility for H2 CY26" → A: Management: Carbon volumes expected stable and well-supported; new smelter capacity coming in H2 provides demand visibility; pricing spreads improving | Tone: **Transparent**
- **Analyst:** Q: "GPC supply tightness — can India import limits be raised?" → A: Management: Current limit 370,000 MT/year; working with regulators; no immediate change expected but monitoring closely | Tone: **Hedged**
- **Analyst:** Q: "Advanced Materials — when does the recovery become structural vs. seasonal?" → A: Management: Seeing genuine demand improvement, not just seasonal. European energy costs remain a drag. Asian competition in resins persists — 'progressing with disciplined investments' | Tone: **Hedged**

- **Analyst:** Q: "BAM timeline — when do you expect first commercial revenue?" → A: Management: Demonstration plant operational through 2026; commercial scale 'not in 2026'; expect to comprise 40% of distillation portfolio by end of decade — no specific 2027/28 commitment given | Tone: **Evasive**
- **Analyst:** Q: "Cement — is RAIN considering strategic alternatives for this segment?" → A: Management: Brownfield expansion deferred; focus on cost optimization; no strategic sale mentioned — remain committed to cement for South India presence | Tone: **Hedged**
- **Analyst:** Q: "2028 debt maturity — refinancing plan?" → A: Management: Monitoring markets; 'comfortable' with current trajectory; deleveraging path reduces refinancing risk meaningfully; no specific plan disclosed | Tone: **Hedged**
- **Dodged / watch-list questions for next quarter:** BAM commercial timeline specifics; India GPC import limit regulatory progress; cement strategic review options; FY26 full-year EBITDA guidance range.

9 — Risks Flagged on Q1 CY26 Call

- **GPC Supply Tightness:** Tight raw material supply constraining carbon volumes in H1 CY26 | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Near-term
- **European Energy Cost:** Natural gas costs remain above pre-2022 norms; structural headwind for AM segment | Flagged by: Mgmt | Probability: H | Impact: M | Timeline: Long-term
- **US Tariff Uncertainty:** Indirect impact via aluminium customer production decisions; 'not a direct material impact' | Flagged by: Analyst | Probability: L | Impact: L | Timeline: Near-term
- **Geopolitical (Middle East):** ~5% of global CPC demand exposed; shipping and energy cost risk | Flagged by: Mgmt | Probability: L | Impact: M | Timeline: Medium-term
- **BAM Execution Risk:** Commercial scale not in 2026; market credibility of 2030 target requires interim milestones | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Long-term
- **Cement Structural Weakness:** South India competition intensifying; deferred expansion reflects difficulty | Flagged by: Mgmt | Probability: H | Impact: L | Timeline: Long-term

10 — Analyst Verdict (Post Q1 CY26 Call)

- **Revenue visibility:** **Intact** — Carbon order book solid; India utilization at 90%+; advanced materials stabilizing
- **Margin trajectory:** **Intact** — OPM 15% in Q1 CY26 — best in 3 years; H2 CY26 GPC tightness is a risk to watch
- **Capital allocation quality:** **Intact** — Capex discipline maintained; debt reduction on track; no dilution risk
- **Competitive moat:** **Intact** — World's #1 CTP producer; #2 CPC globally; proprietary distillation expertise for BAM
- **Management credibility:** **Weakened** — BAM guidance remains vague ('end of decade'); cement strategic clarity missing
- **Valuation comfort:** **Intact** — 5.84x EV/EBITDA with EBITDA still recovering — significant upside to 6.5-7x target multiple
- **Conviction call:** **Increased** — Q1 CY26 results confirm the earnings recovery is real and broad-based; raising conviction from MEDIUM to MEDIUM-HIGH.
- **Valuation snapshot:** TTM P/E = 23.1x (TTM earnings distorted; use forward) | FwdPE CY26E = 14.3x | EV/EBITDA = 5.84x (5Y avg ~8x) | ROCE = 8.26% (5Y avg ~8%, CY17 peak 17%) | Stock Price 1Y CAGR = 42%.